

team has a big role to play in putting them together to bring out something of value. Afterall, the product and its present and future performance lies with the knowledge of the founding team.

“We certainly look for proprietary insights and, most importantly, what are things that the founders know that most other founders in their business wouldn’t know,” informs Venugopal.

The founders’ profile, skillset, as well as the profiles and skillset of the core employees are a big deciding factor. A team with a strong yet mixed skillset is the one who almost always takes home the prize. Something that may leverage a founding team’s credibility is having a deep vertical domain knowledge.

It is also important to remember that an electronics startup is a business opportunity at the end of the day. This means that only having terrific technical knowledge is not enough, terrific business knowledge is what is going to bring the product into the limelight.

Interestingly, Choukkar mentions that it would particularly be wise to have more than one founder of a startup. “Because you never know what may happen to the founder. There is a possibility of the person not being competent enough or some unforeseen health condition to develop.”

Getting the right investors - you just need to look

Any startup is initially funded by the founders’ or other close sources themselves. Scouring for investors right off the bat is going to end in vain. But once you have invested enough cash into your startup to get it up and running, you can move on to the second stage of funding, which is looking for incubators, accelerators, university tech parks, and grant schemes.

Getting a combination of funds from all these sources can provide your startup a much needed boost to scale up. Here, research is your biggest ally, according to Choukkar. “Most of the top-notch engineering or management institutes in the company have an incubator associated with them. There are a good number of non-academic incubators as well. While looking for academic incubators, in particular, pay attention to what kind of grant schemes their institutions work with.”

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The government has also been very receptive towards building a healthy electronics startup ecosystem in the country. The I-STEM scheme is one such offering that has a large number of schemes to provide early capital as well as mentorship and physical resources that are available for free. “This is some of the best money that you can get. This is non-dilutive funding where you don’t have to surrender any kind of stake in your company to be eligible for this money, nor do you have to pay back,” says Choukkar.

The next category of funding that startups would typically have access to are angel investors.

While there are a large number of angel investors who will be willing to invest in your startup, Choukkar advises that one should be wary of whether they would actually be a good fit for your startup. Understanding how you see your company growing and what are the expectations of angel investors you are dealing with is a good way to start.

Angels are lucrative investments that you can look for since they come with more staying power and, if chosen wisely, can also help you with some much-needed mentorship and networking opportunities.

Crowdfunding is another great way to get some funds in the early days of your startup. It can help you put together at least a few batches of your product that you can show as evidence of traction to future investors. What’s more is crowdfunding, while being a great source of investment, can also provide you an avenue to test your product’s market acceptance. Although it is hard to accomplish, the speciality of this kind of funding is, again, that it comes with no stake surrender or debt.

Finally, venture debt and conventional debt is something that you may access after you have got a couple of sales cycles running and have a better understanding of your business. Being aware of how their choice is dictated is particularly important if you have to have them investing in you, as per Choukkar.

Choukkar advises, “Within a VC itself there are other large number of different funds. You should look at venture funds which have a consistent theme and sector that matches the theme and sector that you are in.”

But with so many funds, we are cursed with the option to choose. Choukkar gives a simple plan that will help you make a wise choice,

Knowing the structure and lifecycle of a fund is important. Essentially, a fund is an 8-10 year journey where it spends a couple of years fundraising, which is followed by a deployment phase where they would be investing in companies for 2-3 years. In the remaining years, a fund is looking at nurturing and growing their investments and then exiting. If you happen to choose them at any point when they are not investing, you are almost bound to be rejected, even if you meet their criteria. So research, again, is your friend here.

The pitch

So, you have taken care of your business model, developed your product, built a strong business model, and finally made it to the investor’s table. Now what?

It is natural to feel a sense of restlessness before presenting your proposal to the investor. In that case, it is wise to keep answers to a few common, yet fundamental, questions mentioned below ready.